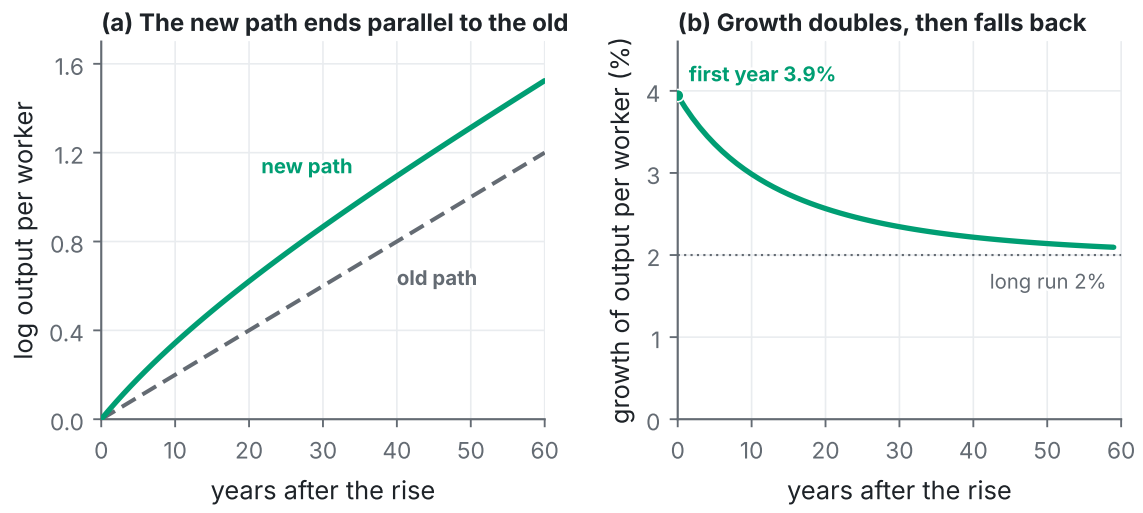
(a) The new path ends parallel to the old
log output per worker
1.6
1.2
0.8
0.4
0.0
new path
old path
0
10
20
30
40
50
60
years after the rise
(b) Growth doubles, then falls back
growth of output per worker (%)
first year 3.9%
4
3
2
1
0
long run 2%
0
10
20
30
40
50
60
years after the rise